# WARRANTY ATLAS · Pennsylvania (PA)

Law last amended: 2018 (eff. 2019-10-24) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-23

Cites: Board of Vehicles Act § 307, 63 P.S. § 818.307; BOVA § 318, 63 P.S. § 818.318 (discipline); BOVA §§ 328-329, 63 P.S. §§ 818.328-818.329 (penalties; civil actions)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 307(a)(1); rate: § 307(a)(3) |
| **Mfr-backed service contract** | **Conditional** | Statute silent on time / not established | § 307(e)(1); see § 310(b)(2) |
| **CPO warranty** | **Not addressed** | - | § 307(a)(3) |
| **Independent service contract** | **Conditional** | Statute silent on time / not established | § 307(a)(3) |

Hourly rate: Dealer's retail rate: declared average labor rate = total labor sales ÷ total labor hours from the lesser of 100 sequential non-warranty customer-paid ROs or 90 consecutive days (within 180 days). Presumed reasonable and effective 60 days after declaration. Manufacturer may rebut within 60 days and propose an adjustment. Protest to the State Board of Vehicle Manufacturers, Dealers and Salespersons. One declaration per calendar year. Dealer may opt out (revert to nonretail) o…

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Written or electronic description of the corrective action required. No denial or reduction if the dealer reasonably substantiated the claim under reasonable written requirements notified in advance and in effect when the claim arose. | § 307(e)(1), (1.1) (covers warranty, recall, service contra… |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. On disapproval, the manufacturer must describe in writing the reasonable corrective action needed for payment, or the claim is de… | |
| **Chargebacks** | 9 months; fraud: With evidence of fraud, the manufacturer may audit longer and charge…. False or unsubstantiated claims only. After any internal appeal, at least 30 days' written notice before chargeback, giving the amount and basis of each claim and the total. A dealer protest to the Board within those 30 days bars the chargeback until a hearin… | § 307(e)(2)-(3) |
| **Rate resubmission** | no more than once in one calendar year. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Other (see text), Routine maintenance, Tires, Prep / reconditioning. | § 307(a)(3)(i)-(iii), (b.1), (b.3)(2) |
| **Mfr response** | 60 days; no response = approved: Yes. Challenge: Declared rate is 'unreasonable or materially inaccurate'; at the Board, the manufacturer must also show its proposed adjustment is reasonable Forum: State Board of Vehicle Manufacturers, Dealers and Salespersons protes…. | § 307(a)(3)(ii)-(v) |
| **Penalties** | Action for damages and equitable relief, including injunctive relief (§ 329) Board may reprimand, suspend, revoke or refuse a license (§ 318). Board civil penalty up to $1,000 (§ 328(c)). Summary offense with a $1,000 fine (§ 328(a)). | 63 P.S. §§ 818.318, 818.328, 818.329 |
| **Audit procedures** | Audit climate score 40/100 (High restrictiveness; chargeback limits 37/75 + process and oversight 3/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: yes; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 307(e)(1), (1.1) (covers warranty, recall, service contra…): "is not specifically disapproved in writing or by electronic transmission 30 days after receipt by the manufacturer or distributor is considered approved and payment to the dealer must follow within 30 days."*
***Chargebacks*** *(§ 307(e)(2)-(3)): "The manufacturer or distributor shall be permitted to audit claims within a nine-month period from the date the claim was paid or credit issued by the manufacturer or distributor and to charge back any false or unsubstantiated claims."*
***Rate*** *(§ 307(a)(3)(i)-(iii), (b.1), (b.3)(2)): "A declaration of the average labor rate calculated by dividing the amount of the dealer's total labor sales by the number of total labor hours that generated the sales. ... more than once in one calendar year"*
***Factory time*** *(§ 307(a)(1); rate: § 307(a)(3)): "provide the dealer with a schedule of compensation to be paid the dealer for parts, work and service, and the time allowance for the performance of such work and service."*

## Notes

The 9-month audit window is shorter than most states. If a dealer does not seek retail rates, the manufacturer may not recover costs through a surcharge, and the dealer may revert to the nonretail rate once a year to avoid one ((b.4)). Paid hours: only 'the time allowance' in the compensation schedule, with no reasonableness standard. § 307 does not apply to manufactured housing ((a)(4)) or RVs ((g); see § 508). It does apply to medium/heavy truck component and engine makers ((f)). Pending SB 1182 is not law.

Source: official · https://www.legis.state.pa.us/WU01/LI/LI/US/HTM/1983/0/0084..HTM (official unconsolidated statute; § 307 last amended b… · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.